

prefer a larger immediate income. Similarly, a person earning a relatively small income and with heavy financial obligations might have no choice but to provide for immediate needs.

However, for the great majority of small investors, the decision on the importance of immediate income is one of personal choice. It probably is largely dependent on the psychology of each individual investor. My own purely personal view is that a small amount of additional income (after taxes) palls in comparison to an investment that in the years ahead could bring me a sizable income and, in time, might make my children really wealthy. Others may feel quite differently about this. It is to the large investor, and to the small investor who feels as I do on this subject and desires an intelligent approach to the principles that have made these kinds of results possible, that the procedures set forth in this book are presented.

The success which any particular individual will have in applying these principles to his own investments will depend on two things. One is the degree of skill with which he applies them. The other is, of course, the matter of good fortune. In an age when an unforeseeable discovery might happen tomorrow in a research laboratory in no way connected with the company in which the investment has been made, and in an age when five years from now that unrelated research development could result in either tripling or cutting in half the profits of this investment, good fortune obviously can play a tremendous part so far as any one investment is concerned. This is why even the medium-sized investor has an advantage over those of very small means. This element of good or bad fortune will largely average out if several well-selected investments are chosen.

However, for both large and small investors who prefer far greater income some years from now to maximum possible return today, it is well to remember that during the past thirty-five years numerous studies have been made by various financial authorities. These have compared the results obtained from the purchase of common stocks which afford a high dividend yield with those obtained from the purchase of low-yield stocks of companies that have concentrated on growth and the reinvestment of assets. As far as I know, every one of these studies has shown the same trend. The growth stocks, over a five- or ten-year span, have proven spectacularly better so far as their increase in capital value is concerned.